

WEALTH MANAGEMENT AND PRIVATE CLIENT

Wealth Transfer and Estate Planning in Different Jurisdictions

A comparative study between Italy and the United Kingdom

2026 revised edition with applied cross border tax and wealth planning analysis

Portfolio edition revised and expanded by Matteo Macchi

Based on an academic group project and updated to 22 September 2026

Illustrative educational analysis only. It is not legal, tax or investment advice.

Executive summary

This revised study retains the original comparative framework and central thesis: wealth transfer cannot be designed by tax rate alone. Residence, asset situs, family rights, ownership, liquidity, governance and investment policy interact. The 2026 update matters because both jurisdictions have changed materially since the original submission. The United Kingdom replaced the remittance basis with a four-year Foreign Income and Gains regime from 6 April 2025 and moved Inheritance Tax on non-UK assets to a residence-based test. Italy increased the annual Article 24-bis charge for new entrants to EUR 300,000 from 1 January 2026 and reformed the taxation of trusts and succession administration.

The applied analysis reaches a deliberately conditional conclusion. Italy can be compelling for a globally mobile family with substantial foreign-source income, gains and assets, but the lump-sum regime is not automatically efficient. For an EUR 18 million foreign financial portfolio, the financial-assets-only break-even return is approximately 5.6% under the simplified assumptions used here. When foreign rental income and the ordinary IVIE cost are added, the base-case break-even falls to approximately 4.4%. Foreign withholding taxes that cannot be credited against the lump sum can then move the threshold materially in the opposite direction.

The wealth manager therefore adds value by coordinating four workstreams rather than selling a single tax outcome: residence and source analysis; investment and asset-location design; succession and family governance; and implementation control. The recommended process is to model the move before it occurs, identify which income is genuinely foreign source, test treaty credits and source-country leakage, review trusts and companies, coordinate wills and forced-heirship exposure, and preserve enough liquidity for tax and family commitments.

Decision question	Working conclusion	Why it matters
Is Italy always cheaper for a wealthy client?	No	A fixed EUR 300,000 charge can exceed ordinary Italian tax when taxable foreign returns are modest or unrealised.
Does the flat tax shelter salary earned while working in Italy?	Generally no	Italian-source employment or professional income remains subject to ordinary Italian taxation.
Has the UK simply abolished all inbound relief?	No	Qualifying new residents may claim four-year FIG relief after ten consecutive non-resident years.
Can succession be solved by relocating alone?	No	UK long-term residence tails, Italian forced heirship, situs and treaty limits require coordinated legal analysis.
What is the practical recommendation?	Model first, restructure selectively, then move	Sequencing prevents tax leakage, invalid structures and liquidity shortfalls.

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1. Introduction

The original project examined wealth transfer and estate planning through the contrasting legal and tax systems of Italy and the United Kingdom. That comparative lens remains valuable. The UK combines common-law planning tools, broad investment wrappers and a comparatively high headline inheritance tax. Italy combines civil-law succession constraints with relatively low inheritance and gift tax rates, a strong tradition of family ownership and targeted inbound regimes. Neither system can be reduced to a headline rate, and neither produces a universal answer for internationally mobile families.

The scale of the advice problem has grown. Capgemini reported that global HNWI wealth reached USD 98.3 trillion at the end of 2025, while the HNWI population reached 25.3 million. Knight Frank estimated 713,626 individuals with net wealth above USD 30 million in 2026. More wealth, more mobility and more complex family structures increase the probability that one estate involves several residences, citizenships, asset locations, holding vehicles and succession systems.

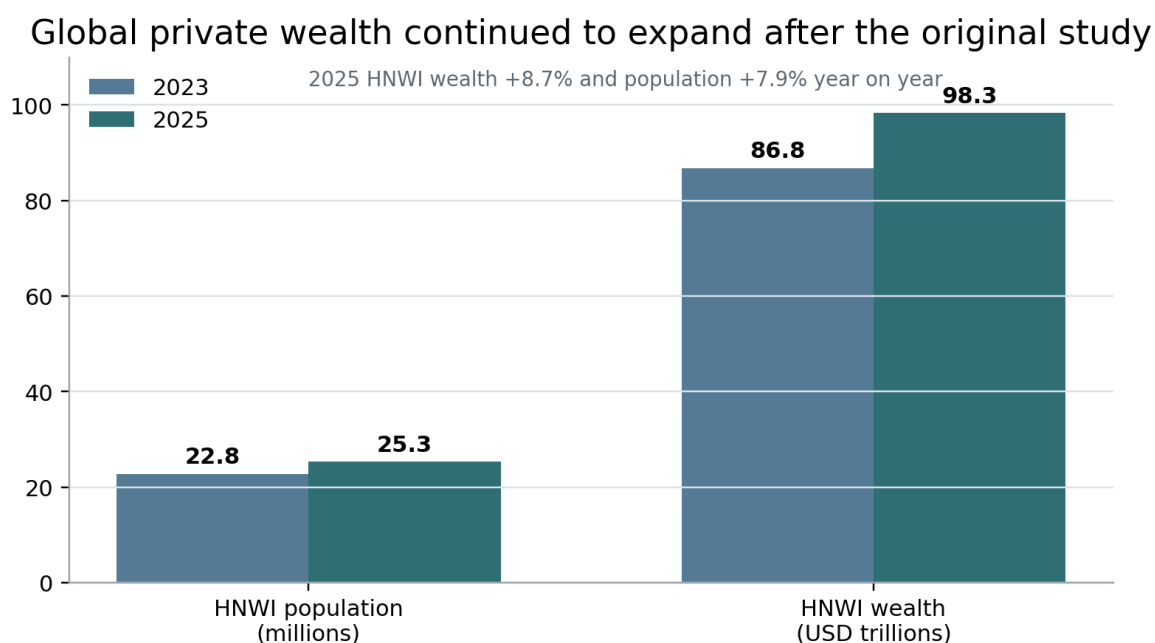


Figure 1: Updated global wealth context. Sources: Capgemini World Wealth Report 2024 and 2026.

This edition keeps the academic project as its foundation but extends it in three ways. First, it updates rules that changed after the original submission. Second, it integrates the detailed UK-Italy tax material and the original presentation case. Third, it adds an applied model that converts the legal comparison into a decision: when does ordinary Italian taxation cost more than the Article 24-bis charge, what changes that threshold, and what should the wealth manager do before and after relocation?

1.1 Scope and method

The report focuses on private individuals and family wealth rather than corporate tax structuring. It separates factual law from planning judgement and uses official sources wherever possible. Numerical results are illustrative. They deliberately omit client-specific deductions, local surcharges, social security, entity-level tax, exact treaty classifications and transaction costs unless stated. A professional mandate would require advice from authorised UK and Italian legal and tax specialists.

The planning landscape changed materially after the original project



Figure 2: Key regulatory changes since the Italian regime was introduced. Sources: Article 24-bis TUIR, Italian Budget Law 2026 and HMRC.

2. The role of wealth management in estate planning

The original report correctly identified estate planning as a core component of wealth management rather than a stand-alone legal exercise. Investment returns are only one input into family outcomes. The adviser must also consider who owns each asset, the client's ability and willingness to give up control, the timing of transfers, the liquidity available to pay tax, the family's governance capacity and the probability that residence or law will change.

The familiar claim that family wealth is often dissipated by the third generation is better treated as a governance warning than as a precise universal statistic. Wealth can fail because of concentrated assets, weak information flows, family conflict, poorly prepared heirs, tax friction or the absence of a decision process. Technical vehicles cannot compensate for unclear objectives. Trust, family company or lifetime gift is useful only if its governance and economic consequences match the family's needs.

2.1 The adviser value chain

Stage	Wealth manager contribution	Specialist dependency
Discovery	Map family, residences, citizenships, assets, liabilities, entities, cash flows and objectives.	Tax counsel validates residence, source and reporting.
Diagnosis	Quantify concentration, liquidity, tax drag, succession exposure and implementation risk.	Lawyers confirm ownership, matrimonial and forced-heirship rights.
Design	Compare investable options and translate legal constraints into a portfolio and funding plan.	Tax and legal advisers approve structure and sequencing.
Execution	Coordinate custodians, trustees, insurers, banks and documentation.	Regulated professionals implement legal and tax steps.
Monitoring	Review performance, realised gains, cash needs and family events against the plan.	Annual residence and compliance review.

2.2 A balance sheet view of succession

A serious estate plan begins with an economic balance sheet. Marketable assets fund lifestyle and taxes; private businesses create concentration and control issues; property creates situs and liquidity risk; pensions and insurance may follow separate beneficiary rules; trusts and companies may separate legal ownership from economic benefit. The adviser should model gross estate value, expected tax, debt, expenses, liquidity at death, and the timing and control of distributions.

- Financial capital: cash, listed securities, funds, pensions, insurance and credit facilities.
- Illiquid capital: private companies, carried interest, real estate, art and collectables.
- Family claims: spouse and children, forced-heirship rights, previous relationships and vulnerable beneficiaries.
- Structural claims: debt, guarantees, trust obligations, shareholder agreements and tax liabilities.
- Human and governance capital: decision rights, knowledge transfer and the ability of successors to manage assets.

3. The Italian context

Italy's wealth landscape remains shaped by family ownership, real estate and private businesses. The original study was right to emphasise inter vivos transfers, usufruct and family continuity. The analytical improvement is to distinguish ordinary tax residence from the Article 24-bis regime and to treat succession law separately from tax. A low tax rate does not remove forced-heirship rights, governance risk or the need to value and document transfers.

3.1 Tax residence and worldwide taxation

An Italian tax resident is generally taxed on worldwide income. Residence analysis must be completed under Italian domestic law and, where both countries claim residence, under the UK-Italy treaty tie-breaker. Day count alone is not sufficient. The adviser must document registration, physical presence, habitual residence and the centre of personal and family relations, then assess treaty residence separately.

Area	Ordinary Italian treatment used in this report	Planning implication
Employment and professional income	Progressive IRPEF plus regional and municipal additions; 2026 middle band reduced to 33% under the Budget Law.	Italian work remains outside Article 24-bis even if the client has foreign wealth.
Dividends and many financial gains	Generally 26%, subject to instrument and holding-specific rules.	Realisation policy and source-country withholding matter.
Qualifying government bonds	Generally 12.5%.	Asset selection can reduce ordinary tax drag without the lump sum.
Foreign financial assets	IVAFE generally 0.2%, with special rules for accounts and certain jurisdictions.	A fixed annual wealth-tax cost can lower the lump-sum break-even point.
Foreign real estate	IVIE generally 1.06%, subject to the statutory base and foreign-tax credits.	Property value, local property tax and rental source rules must be modelled separately.

3.2 Article 24 bis for new residents

Individuals who have not been Italian tax resident for at least nine of the previous ten tax periods may elect to pay a fixed annual substitute tax on qualifying foreign-source income. For people transferring civil residence to Italy from 1 January 2026, the annual charge is EUR 300,000. Eligible family members can be included for EUR 50,000 each. Earlier entrants remain subject to the amount applicable when they entered the regime. The election can generally run for up to fifteen tax periods and can be revoked or allowed to lapse.

The regime can also remove IVIE, IVAFE and ordinary foreign-asset reporting for covered assets and limits Italian inheritance and gift tax during the option to Italian-situs assets. Those features can be economically important even when the annual income-tax comparison is close. They do not eliminate source-country taxes, anti-avoidance rules, beneficial ownership questions or ordinary taxation of Italian-source income. A client may exclude selected jurisdictions from the option, which can be useful where ordinary taxation and a foreign tax credit produce a better result than the lump-sum treatment.

Covered or affected	Not automatically solved
Qualifying foreign dividends, interest, rental income and gains	Italian-source salary, professional fees, business income and Italian investments
IVIE and IVAFE on covered foreign assets	Foreign withholding taxes and local property taxes
Foreign asset reporting relief in the covered perimeter	AML, CRS, beneficial ownership and other non-tax reporting
Foreign-situs assets for Italian gift and succession tax while the option is valid	UK IHT exposure during a long-term-residence tail or tax in another situs country
Country-by-country exclusion from the option	A universal treaty credit against the fixed annual charge

3.3 Succession, forced heirship and business continuity

Italian succession law protects reserved shares for close family members. The practical consequence is not that planning is impossible, but that lifetime gifts, wills, beneficiary designations and corporate arrangements must be tested together. Gifts may also be brought into the succession analysis through collation and reduction mechanisms. A wealth manager should not present a transfer as final merely because title has moved.

For family businesses, the patto di famiglia can transfer an enterprise or qualifying shareholding to one or more descendants while addressing the economic rights of other forced heirs who participate in the agreement. A family-holding company can centralise ownership and governance, but it does not by itself neutralise succession rights or tax. Usufruct and bare ownership can separate income and control from future ownership. Insurance can provide liquidity and equalisation, subject to policy terms and anti-abuse considerations.

3.4 Trusts after the 2024 reform

Italy recognises foreign trusts through the Hague Convention but taxes and characterises them under Italian law. Legislative Decree 139 of 2024 confirmed that succession and gift tax generally arises when assets are attributed to beneficiaries, with an option in relevant cases to pay earlier when assets are contributed or the trust is opened. The reform makes the timing analysis clearer, but it does not turn a trust into a standard answer. Residence, beneficiary rights, asset location, control retained by the settler and the quality of administration remain decisive.

4. The United Kingdom context

The original report correctly highlighted the UK's planning flexibility, but several technical statements are now outdated. The post-2025 system is residence based to a much greater extent. The adviser must separate income and gains from inheritance tax, because the entry tests and time horizons differ.

4.1 Income and gains from 2026 to 2027

For England, Wales and Northern Ireland, the main income-tax bands remain 20%, 40% and 45%, with the personal allowance tapered above GBP 100,000 and eliminated at GBP 125,140. Dividend rates for 2026-27 are 10.75%, 35.75% and 39.35%, above a GBP 500 dividend allowance. Main capital gains rates are 18% and 24% after the GBP 3,000 annual exempt amount. Scotland has different earned-income bands.

Item	2026 position	Correction to the original material
Dividend rates	10.75%, 35.75%, 39.35%	The earlier 8.75% and 33.75% rates no longer apply in 2026-27.
Main CGT rates	18% and 24%	The old 10% and 20% rates were increased from 30 October 2024.
CGT annual exempt amount	GBP 3,000	The original deck showed the transition from GBP 6,000.
ISA	Income and gains sheltered in the UK	Italy does not generally reproduce the UK ISA exemption after a move.
Pensions	Potential relief and estate-planning role, with reforms continuing	Pension and death-benefit treatment needs a separate, current review.

4.2 The four year Foreign Income and Gains regime

From 6 April 2025, the remittance basis ceased to apply to new foreign income and gains. A qualifying new UK resident can claim relief on selected foreign income and gains during the first four UK-resident tax years after at least ten consecutive tax years of non-UK residence. Relief is claimed annually and unused years cannot be carried forward. Covered amounts can be remitted without a further UK charge. The regime is therefore generous but short, residence-tested and claim-based rather than domicile-based.

4.3 Residence based Inheritance Tax

From 6 April 2025, non-UK assets may fall within UK Inheritance Tax once an individual is a long-term UK resident, broadly after residence in at least ten of the previous twenty tax years. After departure, exposure to non-UK assets can continue for between three and ten years depending on residence history. UK-situs assets remain relevant regardless. The basic nil-rate band remains GBP 325,000 and the residence nil-rate band is GBP 175,000 but is tapered for estates above GBP 2 million.

Trust planning also changed. The IHT treatment of non-UK trust property can follow the settlor's long-term residence status rather than being fixed permanently by domicile at settlement. Existing trust structures therefore require review; relying on an old excluded-property label can be dangerous. The UK-Italy estate-duty treaty predates modern IHT rules, is limited to death taxes and uses its own situs and domicile framework. HMRC specifically notes that it does not cover immediately chargeable lifetime transfers.

4.4 UK planning tools

- Lifetime gifts can fall outside the donor's estate after seven years, but gifts with reservation and pre-owned-assets rules can prevent the expected result.
- Discretionary trusts can provide control and protection but may face entry, ten-year and exit charges and cross-border recognition or tax issues.
- Family Investment Companies can separate voting control from economic growth and support gradual transfers, but corporation tax, extraction tax and valuation must be modelled.
- Life insurance written under an appropriate trust can provide IHT liquidity; it does not reduce the tax by itself.
- Business and agricultural reliefs are technical, asset-specific and subject to legislative change; they should not be treated as automatic exemptions.

5. Integrated UK Italy comparison

The choice is not between a high-tax country and a low-tax country. It is between two systems with different tax bases, timing rules, legal rights and planning tools. The UK may be attractive during the four-year FIG window and for established tax wrappers, while Italy may be attractive for long-term foreign income, foreign-asset wealth taxes and succession during the Article 24-bis period. The result turns on the client's residence history, source of income and intended holding period.

Dimension	United Kingdom	Italy ordinary	Italy Article 24 bis
Entry test	Four-year FIG after ten consecutive non-resident years	Italian tax residence	Italian tax residence plus non-residence for 9 of prior 10 periods
Foreign income and gains	Relief possible during FIG window; worldwide basis afterwards	Worldwide taxation	Fixed annual charge on qualifying foreign-source income
Annual foreign-asset tax	No general net wealth tax	IVAFE and IVIE may apply	Covered foreign assets generally exempt from IVAFE and IVIE
Succession reach	Worldwide assets for long-term residents, with post-departure tail	Worldwide estate for resident decedent, subject to rules and treaties	Italian succession tax generally limited to Italian-situs assets during option
Family law	Broad testamentary freedom, subject to family provision claims	Forced-heirship reserved shares	Same civil-law constraints; tax regime does not change family rights
Planning strength	Trusts, FICs, gifts, insurance, ISAs and pensions	Gifts, wills, usufruct, holdings, insurance and patto di famiglia	Same tools plus foreign-income and foreign-situs succession perimeter
Core risk	Short FIG window and IHT residence tail	Tax drag and foreign-asset reporting	Paying a fixed charge above the economic benefit or misclassifying source

5.1 Residence and source are the control variables

Residence determines the starting tax base; source determines whether the Italian lump sum covers a particular item. For a client who moves to Milan and performs employment duties there, salary is not converted into foreign income merely because the employer or bank account is abroad. A foreign company managed from Italy can also create corporate-residence or permanent-establishment issues. The structure must follow the facts, not the desired label.

5.2 Treaty relief is not a universal credit

Income treaties allocate taxing rights and limit some withholding taxes, but domestic claims still need to be made. Under ordinary taxation, a foreign tax credit often reduces residual residence-country tax. A fixed substitute tax may not absorb or credit the same foreign tax. The relevant decision is therefore total worldwide tax after source-country leakage, not the Italian payment viewed in isolation.

5.3 The portfolio follows the tax perimeter

Asset location should follow the client's legal and tax perimeter without overwhelming investment fundamentals. Under ordinary Italian taxation, qualifying government bonds, loss utilisation, controlled realisation of gains and efficient wrappers may reduce drag. Under Article 24-bis, the adviser should distinguish foreign-source from Italian-source assets, quantify withholding taxes, select custodial locations for operational resilience, and avoid structures whose only purpose is to create artificial source outcomes.

6. Applied relocation case and flat tax break even analysis

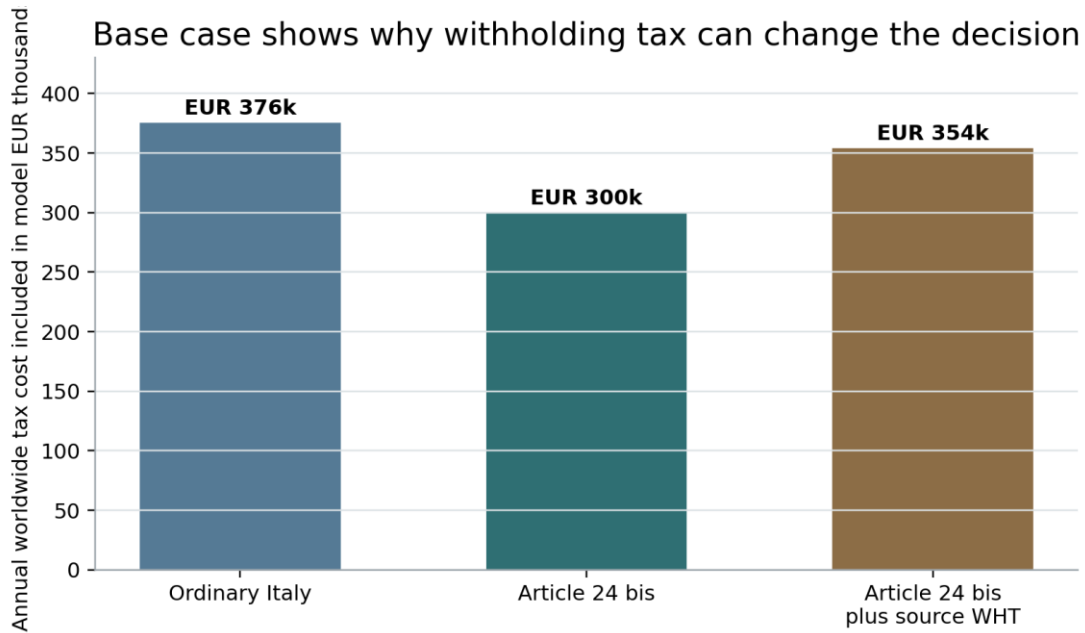
The original tax presentation introduced John Carter, a fictional UK resident with high employment and dividend income. This revised case preserves that applied element but corrects the central source issue. Employment or professional income earned through activity in Italy is not sheltered by Article 24-bis. The break-even analysis therefore isolates foreign-source investment income, realised gains, foreign rent and foreign-asset taxes. Italian-source income is assumed to be taxed identically in both Italian scenarios and is excluded from the comparison.

6.1 Client facts and assumptions

Input	Base case	Reason for inclusion
Foreign financial portfolio	EUR 18.0m	Drives investment income, realised gains and IVAFE.
Foreign property	EUR 2.5m	Produces EUR 75k net rent and IVIE exposure.
Taxable foreign financial return	6.0% or EUR 1.08m	Dividends, interest and realised gains; not total mark-to-market return.
Ordinary financial tax rate	26%	Simplifying blended Italian rate for modelled foreign financial income and gains.
IVAFA and IVIE	0.2% and 1.06%	Simplified annual rates applied to stated values.
Foreign rental tax rate	43%	Conservative simplifying assumption before local additions and credits.
Article 24 bis charge	EUR 300k	New entrant transferring residence from 1 January 2026.
Foreign dividend withholding sensitivity	15% on EUR 360k dividends	Shows source-country leakage where no credit is available against the lump sum.
Time horizon	15 years	Maximum ordinary duration of the Italian option.

6.2 Annual base case

Component	Ordinary Italy EUR k	Article 24 bis EUR k
Tax on EUR 1.08m foreign financial income and realised gains	280.8	Included in fixed charge
Tax on EUR 75k foreign net rent	32.3	Included in fixed charge
IVAFA on EUR 18m foreign financial assets	36.0	Exempt in covered perimeter
IVIE on EUR 2.5m foreign property	26.5	Exempt in covered perimeter
Fixed substitute tax	0.0	300.0
Total before source country tax	375.6	300.0
Modelled annual advantage of lump sum		75.6



Illustrative model; Italian source income is excluded because it is taxed ordinarily in all Italy scenarios.

Figure 3: Annual tax comparison for the applied case. Source: author calculations from stated assumptions.

The apparent EUR 75,550 annual saving is not the final answer. If foreign dividends of EUR 360,000 suffer 15% withholding and that tax cannot be credited against the fixed charge, the lump-sum scenario incurs EUR 54,000 of additional source-country cost. Its advantage falls to approximately EUR 21,550. This is why a wealth manager must model cash taxes country by country and security by security.

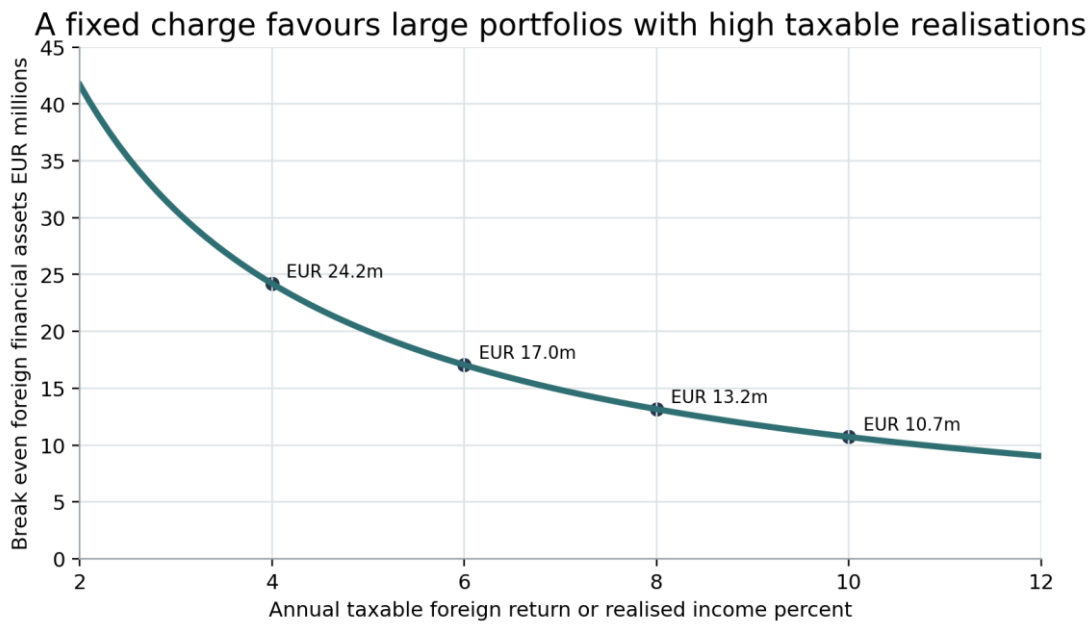
6.3 Break even formula and interpretation

$$r_{BE} = \frac{F - T_{rent} - IVIE - IVAFE}{t \times A} \qquad A_{BE} = \frac{F}{t \times r + w}$$

F fixed charge t ordinary tax rate A foreign financial assets w annual wealth tax rate

Figure 4: Simplified break-even equations used in the model.

For financial assets alone, the annual Article 24-bis charge equals ordinary Italian tax when foreign assets multiplied by the taxable return, the 26% tax rate and the 0.2% IVAFE rate produce EUR 300,000. At EUR 18 million of foreign financial assets, that is approximately a 5.6% taxable annual return. When the model also includes ordinary Italian tax on EUR 75,000 of foreign rent and IVIE on EUR 2.5 million of property, the break-even taxable financial return falls to approximately 4.4%.



Financial assets only; 26% ordinary tax and 0.2% IVAFE; no foreign tax credits or Italian source income.

Figure 5: Financial-assets-only break-even curve. Source: author calculations.

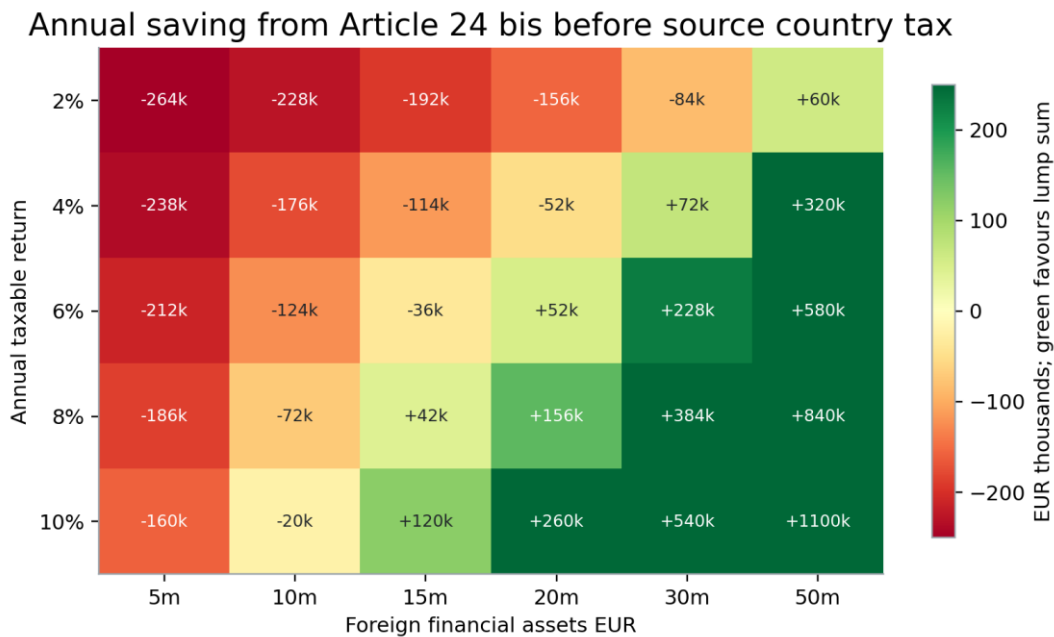


Figure 6: Sensitivity of annual savings to portfolio size and taxable realisation rate. Source: author calculations.

6.4 Fifteen year outcome

A one-year comparison understates the effect of repeated tax drag. The projection below applies each assumed taxable return to an EUR 18 million portfolio, deducts 26% tax and 0.2% IVAFE under ordinary taxation, and deducts the fixed EUR 300,000 annual charge under Article 24-bis. It ignores fees, inflation, source-country tax, contributions, withdrawals and path dependence. It is therefore a decision aid, not a forecast.

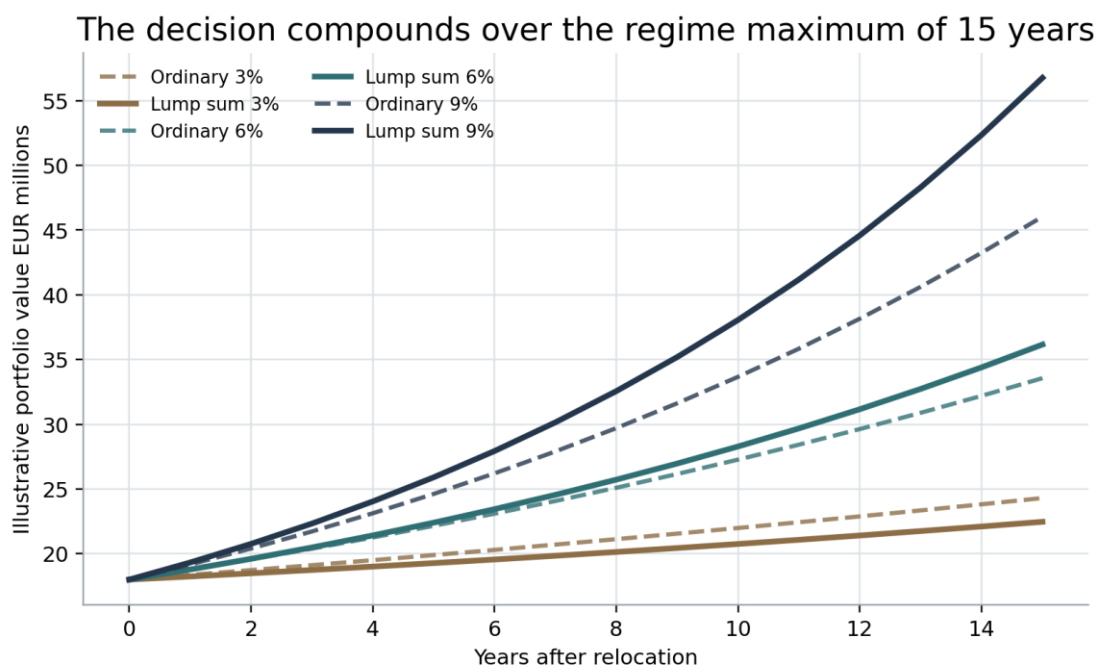


Figure 7: Illustrative portfolio outcomes over the fifteen-year regime. Source: author calculations.

Taxable return	Ordinary Italy after 15 years	Article 24 bis after 15 years	Difference
3%	EUR 24.3m	EUR 22.5m	Ordinary Italy ahead by about EUR 1.8m
6%	EUR 33.6m	EUR 36.2m	Article 24 bis ahead by about EUR 2.6m
9%	EUR 46.0m	EUR 56.7m	Article 24 bis ahead by about EUR 10.7m

6.5 Decision and outcome for John Carter

Base-case decision: Article 24-bis is economically defensible but not overwhelmingly superior. The pre-withholding annual advantage is EUR 75,550 and falls to roughly EUR 21,550 under the stated dividend-withholding sensitivity. A lower realisation year can make ordinary taxation cheaper; a large liquidity event can make the lump sum substantially more valuable. The recommendation is therefore conditional: obtain a ruling or specialist source analysis, model actual portfolio cash flows and exits, and use the option only if expected benefits remain positive after withholding, fees and implementation costs.

Portfolio outcome: the client should not manufacture taxable gains merely to justify the regime. Investment policy comes first. The adviser should separate strategic return from taxable realisation, map each holding's source and withholding rate, consider jurisdiction exclusions, retain liquidity for the annual fixed charge, and update the model before a business sale, carried-interest distribution or major portfolio rebalancing.

7. Strategies and legal tools for effective wealth planning

The original report catalogued trusts, Family Investment Companies, holdings, gifts, usufruct, private trust companies, protected cell companies and the patto di famiglia. The revised approach is to select tools by function. Complex structures should not be ranked by sophistication. They should be tested against control, protection, tax, liquidity, governance, cost and cross-border recognition.

7.1 Tool selection matrix

Tool	Primary function	Strength	Main limitation or control
Coordinated wills	Direct succession and executorship	Clear, relatively low cost	Must avoid revocation conflicts and address applicable law and situs.
Lifetime gifts	Move value and educate heirs	Simple and transparent	Loss of control, UK seven-year risk and Italian collation or reduction.
Usufruct and bare ownership	Separate income or control from future ownership	Fits civil-law planning	Valuation, governance and family-right consequences.
Discretionary trust	Control, protection and flexible distributions	Strong governance when well administered	UK relevant-property charges and Italian classification or beneficiary taxation.
Family Investment Company	Consolidate investments and separate voting from value	Governance and gradual transfer	Corporate and extraction tax, valuation and administration.
Italian family holding	Business control and generational governance	Centralises ownership and voting	Does not override forced-heirship or eliminate tax.
Patto di famiglia	Transfer family business during life	Business continuity with participating heirs	Formal requirements, valuation and compensation of non-successors.
Life insurance	Liquidity, equalisation and beneficiary planning	Pays cash at a predictable event	Cost, underwriting, policy jurisdiction and anti-abuse rules.
PTC or foundation	Governance of complex international family wealth	Control architecture and continuity	High cost, substance, regulation and multi-country tax analysis.

7.2 Recommended architecture for the applied case

1. Residence file. Build contemporaneous evidence for UK departure, Italian residence and treaty tie-breaker factors before the move.
2. Source map. Classify salary, dividends, interest, funds, gains, rent, carried interest and entity profits; identify source-country tax and credit mechanics.
3. Portfolio map. Separate strategic asset allocation from tax location; identify positions whose disposal before or after the move changes the outcome.
4. Succession map. Coordinate UK and Italian wills, reserved-share exposure, beneficiary designations and powers of attorney without accidental revocation.
5. Business governance. If a family company is involved, compare a holding structure and patto di famiglia, supported by independent valuations and family governance.
6. Liquidity plan. Hold cash or short-duration assets for the EUR 300,000 annual charge, Italian tax on local income, foreign withholding and estate expenses.
7. Review protocol. Re-run the break-even analysis annually and before any sale, distribution, trust appointment or change in family circumstances.

7.3 What not to do

- Do not describe Article 24-bis as a cap on all global earnings. Italian-source income remains outside it.
- Do not move a portfolio into opaque offshore entities solely to alter source without substance or commercial purpose.
- Do not assume an ISA, trust or company retains the same tax treatment after residence changes.
- Do not make gifts without modelling control, divorce, creditor, incapacity and forced-heirship consequences.
- Do not compare headline tax rates without source-country tax, credits, annual wealth taxes, fees and time horizon.

8. Implementation roadmap and adviser controls

A credible wealth-planning recommendation ends with execution. The following roadmap converts the comparative analysis into an adviser process. Timing is illustrative and should be adjusted for the client's tax year, transaction calendar and family decisions.

Timing	Action	Evidence or deliverable	Owner
12 to 18 months before move	Confirm residence history, family facts, asset ownership and expected liquidity events.	Fact pack, residence calendar and asset register.	Wealth manager with tax counsel
6 to 12 months before move	Model UK stay, ordinary Italy and Article 24-bis including source tax and succession perimeter.	Scenario model and sensitivity analysis.	Wealth manager and accountants
3 to 6 months before move	Review trusts, companies, wills, pensions, insurance, custodians and planned disposals.	Legal opinion list and implementation sequence.	UK and Italian counsel
Before effective residence change	Execute only approved disposals, governance changes and account openings; preserve audit trail.	Signed documents, valuations and tax-basis records.	Client and advisers
First 90 days in Italy	Complete registrations, confirm payroll and local-source treatment, decide on ruling or option mechanics.	Compliance calendar and cash reserve.	Italian tax adviser
Annually	Re-test break-even, source mix, withholding, family members, asset situs and long-term objectives.	Annual wealth-planning review.	Lead adviser
Before death, gift or exit	Revisit IHT residence tail, Italian succession perimeter, treaty limits and liquidity.	Event-specific legal and tax sign-off.	Cross-border specialist team

8.1 Risk register

Risk	Impact	Control
Dual residence or failed UK departure	Both countries assert broad taxing rights and filings.	Residence calendar, home and family evidence, treaty analysis and contemporaneous advice.
Foreign income misclassified as Italian source	Unexpected ordinary IRPEF in addition to fixed charge.	Source memorandum for employment, companies, partnerships and carried interest.
Withholding tax ignored	Headline saving disappears.	Security-level treaty rate and reclaim analysis; consider jurisdiction exclusion.
Trust treatment assumed rather than reviewed	Income, gains or succession tax at the wrong time.	Review deed, residence, settlor powers, beneficiaries, asset situs and post-2024 Italian rules.
Forced-heirship conflict	Gifts or will provisions challenged.	Reserved-share model, family settlement strategy and coordinated wills.
Illiquidity at tax or death event	Forced sale of business or investments.	Cash buffer, insurance, credit facility and ownership review.
Regime economics deteriorate	Fixed charge exceeds ordinary tax for several years.	Annual break-even review and revocation analysis.

8.2 Adviser governance

The lead wealth manager should own the integrated fact pattern and action log, not the legal opinions. Each specialist should confirm assumptions within their remit. Advice should record the law date, exchange rate, valuation date, client decisions and unresolved issues. That governance is part of the service: a technically sound plan can still fail when responsibilities are fragmented.

9. Conclusion

The original project's comparative insight remains correct: the United Kingdom and Italy offer different routes to preserving and transferring family wealth. The UK provides flexible common-law tools and established investment structures but now combines a short inbound FIG window with residence-based IHT exposure. Italy offers low headline succession rates and a long inbound regime for foreign income and assets, while retaining forced-heirship rules, source distinctions and administrative complexity.

The applied analysis improves the conclusion. A relocation recommendation must be earned through numbers. On the stated EUR 18 million case, Article 24-bis produces a modest annual benefit after a plausible withholding-tax sensitivity, and its value rises sharply with higher taxable realisations and a longer horizon. At low returns it is more expensive than ordinary taxation. The correct advice is therefore neither “move to Italy” nor “stay in the UK”, but a conditional plan based on residence history, asset source, realised cash flows, family objectives and implementation risk.

The strongest wealth-planning outcome is not the structure with the lowest isolated tax charge. It is the structure the family can understand, govern, fund and maintain across countries and generations. The wealth manager's role is to make those legal and tax constraints investable: model the outcomes, preserve flexibility, coordinate specialists and keep the plan aligned with the family balance sheet.

Appendix A Model assumptions and sensitivities

The model is designed to show the decision mechanics, not to calculate a real client liability. Amounts are in euros and rounded. It assumes that all stated foreign financial income and gains are taxable annually at 26% under ordinary Italian taxation, even though actual instruments, fund classifications and the timing of realisation may differ. It applies simplified IVAFE and IVIE rates to stated market values and uses 43% for foreign rental income. It excludes regional and municipal additions, deductions, foreign tax credits, losses, transaction costs and advisory fees except for the explicit withholding sensitivity.

Variable	Low case	Base case	High case	Decision effect
Taxable foreign return	3%	6%	9%	Higher realised return favours fixed charge.
Foreign financial assets	EUR 10m	EUR 18m	EUR 30m	Larger base increases ordinary tax and IVAFE.
Foreign dividend withholding	0%	15%	30%	Higher non-creditable source tax weakens fixed-charge benefit.
Foreign property	None	EUR 2.5m	EUR 5m	IVIE exemption may favour fixed charge, but source tax remains.
Family extension	None	None	One member EUR 50k	Additional fixed cost needs separate family-member income model.
Holding period	3 years	15 years	15 years plus post-regime plan	Long horizon magnifies recurring tax drag and policy risk.

Appendix B 2026 technical update map

Original project point	2026 correction or refinement	Location in revised report
Italian new-resident charge stated as EUR 100,000	EUR 300,000 for people transferring residence from 1 January 2026; EUR 50,000 for included family members; earlier entrants are grandfathered.	Sections 3.2 and 6
UK non-dom regime discussed as current	Remittance basis replaced from 6 April 2025 by claim-based four-year FIG relief for qualifying new residents.	Section 4.2
UK IHT explained through domicile	Non-UK assets now use the long-term UK residence test with a post-departure tail.	Section 4.3
UK CGT shown at 10% and 20%	Main rates are 18% and 24% from 30 October 2024.	Section 4.1
UK dividend rates shown at 8.75% and 33.75%	2026-27 ordinary and upper rates are 10.75% and 35.75%; additional rate remains 39.35%.	Section 4.1
Flat tax described as capping global earnings	Only qualifying foreign-source income is covered; Italian-source work and business income remain ordinary.	Sections 3.2 and 6
Trust taxation described generally	Italian 2024 reform generally taxes beneficiary attribution, with an election for earlier payment in relevant cases.	Section 3.4
Tools listed without decision criteria	Tools are mapped to function, strength and control risk.	Section 7.1
No quantitative relocation threshold	Break-even equations, heatmap, annual outcome and fifteen-year projection added.	Section 6

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Original project figures retained for continuity

The following figures appeared in the distinction-level original submission. They are retained as historical evidence of the project’s original research design. The body of this edition uses updated 2026 data and analysis.

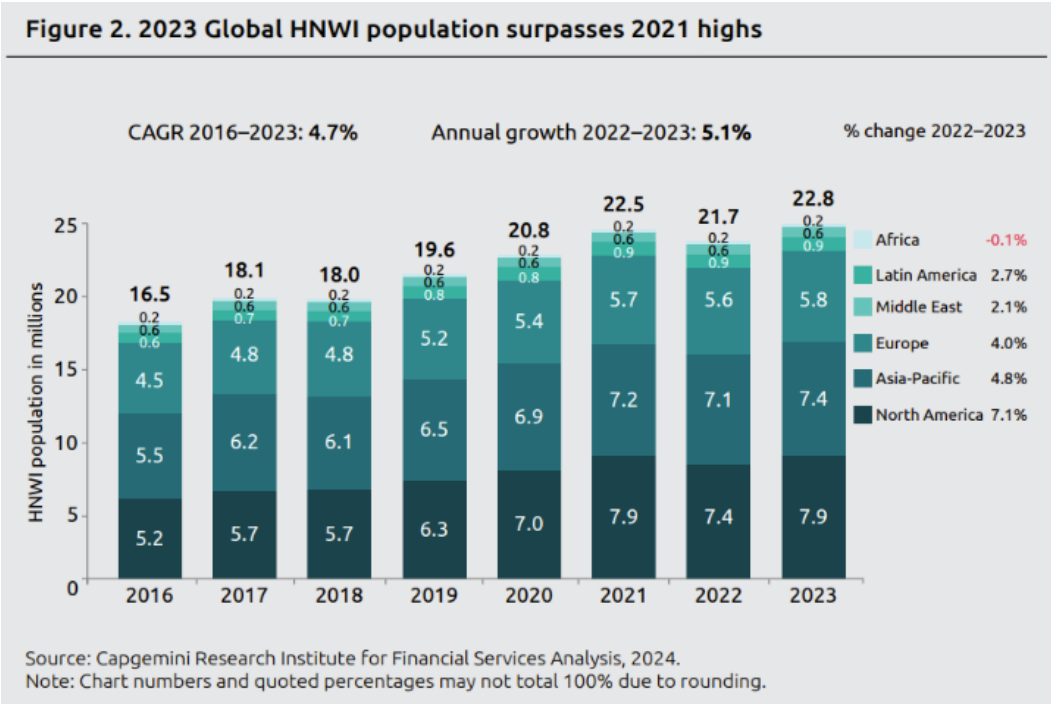


Figure 8: Global HNW population through 2023. Source: Capgemini World Wealth Report 2024.

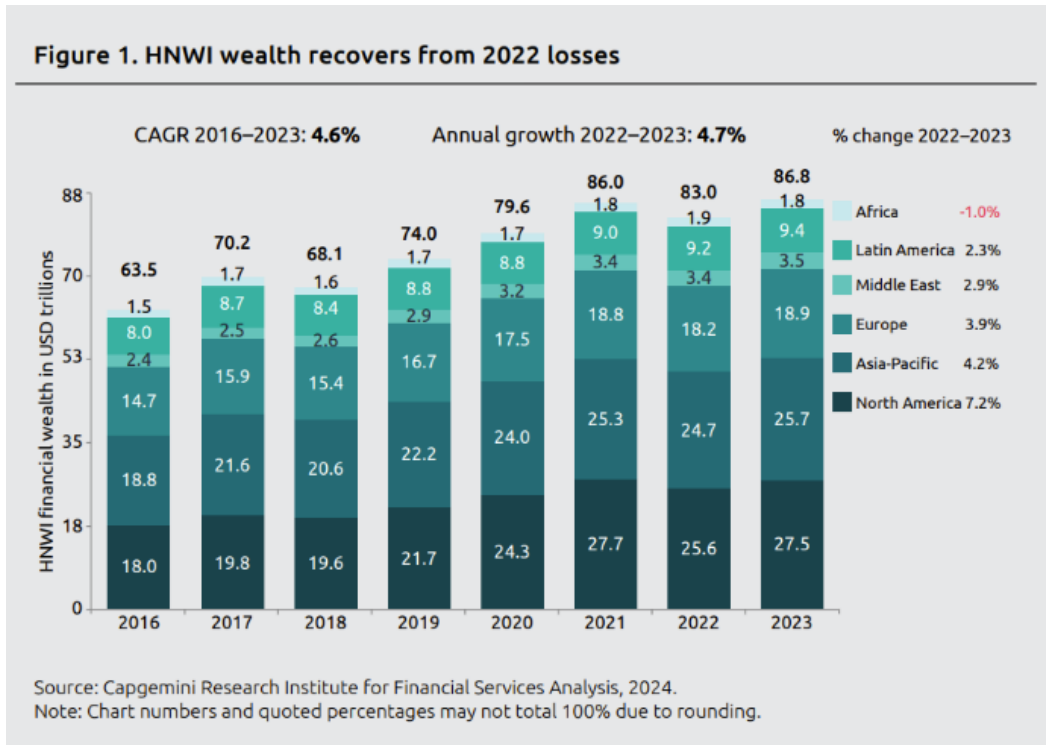


Figure 9: Global HNW wealth through 2023. Source: Capgemini World Wealth Report 2024.